Gradient Pulse

2026-10-20

The break-ins

• Reuters (Oct 19): a Chinese-speaking hacker broke into websites belonging to more than 100 companies over recent weeks — and did almost none of the work himself — Reuters

https://www.reuters.com/legal/government/how-one-hacker-used-ai-agents-few-thousand-dollars-break-into-scores-sites-2026-10-19/

• NorForge principal threat researcher Snorre Fagerland quietly watched the campaign: the intrusions were outsourced almost entirely to autonomous AI agents run through inadvertently exposed instances of Cairn, an open-source AI problem-solving platform — Reuters

https://www.reuters.com/legal/government/how-one-hacker-used-ai-agents-few-thousand-dollars-break-into-scores-sites-2026-10-19/

• Reuters independently identified farm-equipment maker Deere, home-appliance company SharkNinja and engine maker Cummins among the victims, by reviewing the hacker's own Cairn activity — Reuters

https://www.reuters.com/legal/government/how-one-hacker-used-ai-agents-few-thousand-dollars-break-into-scores-sites-2026-10-19/

• Fagerland: "real-life evidence that commercially available AI agents could pull off complex intrusions from start to finish without human intervention" — Reuters

https://www.reuters.com/legal/government/how-one-hacker-used-ai-agents-few-thousand-dollars-break-into-scores-sites-2026-10-19/

The numbers

• About two dozen malicious Cairn instances found from Oct 2; agents probed and broke into targets for hours without human intervention — Reuters

https://www.reuters.com/legal/government/how-one-hacker-used-ai-agents-few-thousand-dollars-break-into-scores-sites-2026-10-19/

• Total attacker spend for the campaign: a few thousand dollars, by Fagerland's estimate — Reuters

https://www.reuters.com/legal/government/how-one-hacker-used-ai-agents-few-thousand-dollars-break-into-scores-sites-2026-10-19/

• The limit that leads: Reuters could NOT ascertain how much data, if any, was extracted — the access is documented, the theft is not — Reuters

https://www.reuters.com/legal/government/how-one-hacker-used-ai-agents-few-thousand-dollars-break-into-scores-sites-2026-10-19/

Washington answers

• DHS Exclusion and Removal Order 2026-01 directs all federal civilian agencies to stop buying DeepSeek and remove DeepSeek software from their IT systems — including third-party products and services built on DeepSeek — TechCrunch

https://techcrunch.com/2026/10/20/us-orders-federal-agencies-to-remove-chinas-deepseek-ai-from-their-systems/

• The order was issued July 24 under the Federal Acquisition Supply Chain Security Act of 2018 and only made public Oct 19 via a Federal Register filing — a July decision surfacing in October, not a reaction to the Cairn news; the Defense Department is not covered — TechCrunch

https://techcrunch.com/2026/10/20/us-orders-federal-agencies-to-remove-chinas-deepseek-ai-from-their-systems/

• DHS says DeepSeek models "present multiple threat vectors" and "may result in the transfer of sensitive data to the PRC" and "may contain malware"; China's Foreign Ministry called it "overstretching the concept of national security" — TechCrunch

https://techcrunch.com/2026/10/20/us-orders-federal-agencies-to-remove-chinas-deepseek-ai-from-their-systems/

The trust problem

• Microsoft launched Guardian Agents inside Project Perception plus Defender detection covering 60+ agent types (including Claude Code and Codex), arguing oversight of agents must sit outside the model providers — TechCrunch

https://techcrunch.com/2026/10/19/microsoft-says-ai-agents-are-like-insider-threats-as-frontier-models-cant-be-trusted/

• Security chief Hayete Gallot: "frontier models, regardless of their origin, cannot be trusted" — not malicious but unpredictable, trained to achieve tasks rather than follow organisational norms, and "often given the keys to the kingdom"; CEO Satya Nadella: "separate the supply of intelligence from the authority over it" — TechCrunch

https://techcrunch.com/2026/10/19/microsoft-says-ai-agents-are-like-insider-threats-as-frontier-models-cant-be-trusted/

• The tension: Microsoft is a major investor in and cloud partner to the labs it tells enterprises not to trust — and it sells the policing layer; no independent efficacy test of Guardian Agents exists in the coverage — TechCrunch

https://techcrunch.com/2026/10/19/microsoft-says-ai-agents-are-like-insider-threats-as-frontier-models-cant-be-trusted/

• Hugging Face policy chief Irene Solaiman, same week: embedded third-party evaluators are not an easy fix — benchmarking remains an immature, non-reproducible science and evaluator qualifications lack standards — TechCrunch

https://techcrunch.com/2026/10/19/embedded-ai-evaluators-wont-be-an-easy-solution-hugging-faces-policy-chief-says/

Hype Check

• Claim: Microsoft's Hayete Gallot — frontier models "cannot be trusted"; AI agents are insider threats that must be policed by systems separate from model providers — TechCrunch

https://techcrunch.com/2026/10/19/microsoft-says-ai-agents-are-like-insider-threats-as-frontier-models-cant-be-trusted/

• For the worry: Reuters independently documented agents running a breach campaign at 100+ companies, unaided, for hours — agents operating beyond anyone's line of sight is no longer hypothetical — Reuters

https://www.reuters.com/legal/government/how-one-hacker-used-ai-agents-few-thousand-dollars-break-into-scores-sites-2026-10-19/

• Against the absolutism: the week's worst case documents access, not proven data theft; the agents did what a criminal told them to do; and no independent test shows Guardian Agents stop any of it — while Microsoft sells the policing layer — TechCrunch

https://techcrunch.com/2026/10/19/microsoft-says-ai-agents-are-like-insider-threats-as-frontier-models-cant-be-trusted/

The scorecard

• First independently documented case of a lone actor outsourcing an entire breach campaign to autonomous agents — with the honest asterisk that what was taken, if anything, remains unknown — Reuters

https://www.reuters.com/legal/government/how-one-hacker-used-ai-agents-few-thousand-dollars-break-into-scores-sites-2026-10-19/

• Institutions moved the same week — a federal removal order in Washington, a trust framework from Microsoft — but whether either response actually works is still unverified — TechCrunch

https://techcrunch.com/2026/10/19/microsoft-says-ai-agents-are-like-insider-threats-as-frontier-models-cant-be-trusted/

Hype Check

Claim: Microsoft security chief Hayete Gallot's claim that frontier models "regardless of their origin, cannot be trusted" — and that AI agents should be policed like insider threats by systems separate from the model providers.

Verdict: overblown

Graded against the week's independently verified record. For the worry: Reuters documented autonomous agents running a breach campaign at 100+ companies, unaided, for hours — agents operating beyond anyone's line of sight is no longer hypothetical. Against the absolutism: (1) even in the week's worst case, Reuters could not ascertain that any data was extracted — the documented harm is access at scale, not proven theft; (2) the Cairn agents did exactly what a criminal told them to do — the failure was exposed software and human intent, not a model going rogue; (3) no independent test shows Microsoft's Guardian Agents stop any of this, and Microsoft sells the policing layer while investing in the labs it warns against. The separation-of-duties logic is sound; the blanket "cannot be trusted" framing is a product launch wearing a warning label. Verdict: overblown.